November 2024

WEI XIONG

Department of Economics
Princeton University
Princeton, NJ 08540
Phone: (609) 258-0282
Email: wxiong@princeton.edu

Academic Appointments

Princeton University, Department of Economics and Bendheim Center for Finance
- John H. Scully '66 Professor in Finance, 2022 – present
- Professor of Economics, 2007 – present
- Trumbull-Adams Professor of Finance, 2014 – 2022
- Assistant Professor of Economics, 2000 – 2006

Other Appointments

Chinese University of Hong Kong, Shenzhen, School of Management and Economics
- Academic Dean, 2015 – present

National Bureau of Economic Research
- Research Associate, 2008 – present
- Faculty Research Fellow, 2005 – 2008

American Finance Association
- Board of Directors, 2023 – 2026

Hong Kong Institute for Monetary Research
- Overseas Advisor, 2012 – present

Bank for International Settlements
- Advisory Panel, 2014 – present

Shenzhen Finance Institute
- Academic Director, 2017 – present

China Merchants Securities Co.
- Non-executive Director, 2017 – present

Luohan Academy, Alibaba Group
- Academic Committee, 2018 – 2023

University of Cambridge
- Visiting Professor and Director of Research, Faculty of Economics, 2021 – 2022
- Professorial Fellow, Pembroke College, 2021 – 2022

Journal of Finance, American Finance Association
Co-Editor, 2016 – 2022

Peking University, Guanghua School of Management
Distinguished Visiting Professor, 2011– 2015

Management Science
Finance Department Editor, 2009 – 2011
Associate Editor, 2006 – 2008

Review of Finance
Associate Editor, 2008 – 2010, 2013 – 2016

Renmin University of China, Hanqing Advanced Institute of Economics and Finance
Director of Academic Committee, 2008 – 2010

Northwestern University, Kellogg School of Management
Visiting Professor of Finance, July 2006 – December 2006

Education

Ph.D., Finance, Duke University, 2001

M.A., Physics, Columbia University, 1995

B.S., Physics, University of Science and Technology of China, 1993

Academic Publications

1. "Convergence Trading with Wealth Effects: An Amplification Mechanism in Financial Markets"
   Journal of Financial Economics, 2001, Vol. 62, pp. 247-292.
2. "Contagion as a Wealth Effect"
   (with Albert Kyle)
   Journal of Finance, 2001, Vol. 56, pp. 1401-1440.
   - Roger Murray Prize by Q-group in 2001
3. "Overconfidence and Speculative Bubbles"
   (with Jose Scheinkman)
   Journal of Political Economy, 2003, Vol. 111, pp. 1183-1219.
   - Reprinted in ***New Perspectives on Asset Price Bubbles***, edited by Douglas D. Evanoff, George G. Kaufman and A. G. Malliaris, 2012, Oxford University Press.
4. "Heterogeneous Beliefs, Speculation and Trading in Financial Markets"
   (with Jose Scheinkman)
   Paris-Princeton Lectures on Mathematical Finance, Springer, 2003, pp. 217-250.
5. "Pay for Short-Term Performance: Executive Compensation in Speculative Markets"
   (with Patrick Bolton and Jose Scheinkman)
   Journal of Corporation Law, 2005, Vol. 30, pp. 721-747.

- Standard Life Investments Finance Prize for the best paper by the European Corporate Governance Institute (ECGI)
- Reprinted in ***Foundations of Corporate Law***, 2012, Matthew Bender & Company

6. "Asset Float and Speculative Bubbles"
   (with Harrison Hong and Jose Scheinkman)
   Journal of Finance, 2006, Vol. 61, pp. 1073-1117.
   - Final list of the Smith Breeden Best Paper Award
7. "Investor Attention, Overconfidence and Category Learning"
   (with Lin Peng)
   Journal of Financial Economics, 2006, Vol. 80, pp. 563-602.
8. "Executive Compensation and Short-termist Behavior in Speculative Markets"
   (with Patrick Bolton and Jose Scheinkman)
   Review of Economic Studies, 2006, Vol. 73, pp. 577-610.
9. "Prospect Theory and Liquidation Decisions"
   (with Albert Kyle and Hui Ou-Yang)
   Journal of Economic Theory, 2006*,* Vol. 129, pp. 273-288.
10. "Investor Attention and Time-Varying Comovements"
    (with Lin Peng and Tim Bollerslev)
    European Financial Management, 2007, Vol. 13, pp. 394-422.
11. "A General Framework for Evaluating Executive Stock Options"
    (with Ronnie Sircar)
    Journal of Economic Dynamics and Control, 2007, Vol. 31, pp. 2317-2349.
12. "Advisors and Asset Prices: A Model of the Origins of Bubbles"
    (with Harrison Hong and Jose Scheinkman)
    Journal of Financial Economics, 2008, Vol. 89, 268-287.
13. "Speculative Trading and Stock Prices: Evidence from Chinese A-B Share Premia"
    (with Jianping Mei and Jose Scheinkman)
    Annals of Economics and Finance, 2009, Vol. 10, 225-255.
14. "What Drives the Disposition and Momentum Effects? An Analysis of a Recent Preference-Based Explanation"
    (with Nicholas Barberis)
    Journal of Finance**,** 2009, Vol. 64, 751-784.
15. "Heterogeneous Expectations and Bond Markets"
    (with Hongjun Yan)
    Review of Financial Studies, 2010, Vol. 23, 1433-1466.
16. "The Chinese Warrants Bubble"
    (with Jialin Yu)
    American Economic Review, 2011, Vol. 101, 2723-2753.
    - The Inaugural Sun Yefang Financial Innovation Award by the Sun Yefang Foundation in 2014
17. "Realization Utility"
    (with Nicholas Barberis)
    Journal of Financial Economics, 2012, Vol. 104, 251-271.
18. "Rollover Risk and Credit Risk"
    (with Zhiguo He)

Journal of Finance, 2012, Vol. 67, 391-429 (lead article).

- **Smith Breeden Prize** (first prize) by American Finance Associate for the best capital market paper published in Journal of Finance in 2012

19. "Dynamic Debt Runs"
(with Zhiguo He)
Review of Financial Studies, 2012, Vol. 25, 1799-1843.
20. "Debt Financing in Asset Markets"
(with Zhiguo He)
American Economic Review Papers and Proceedings, 2012, Vol. 102, 88-94.
21. "Index Investment and Financialization of Commodities"
(with Ke Tang)
Financial Analysts Journal, 2012, Vol. 68, 54-74.
22. "Bubbles, Crises, and Heterogeneous Beliefs"
Handbook on Systemic Risk, edited by Jean-Pierre Fouque and Joe Langsam, Cambridge University Press, 2013, 663-713.
23. "Are Commodity Futures Prices Barometers of the Global Economy"
(with Conghui Hu)
Après le Déluge: Reflections on the Financial Crisis in the Spirit of José A. Scheinkman edited by Glen Weyl, Edward Glaeser, and Tano Santos, University of Chicago Press, forthcoming.
24. "Delegated Asset Management, Investment Mandates, and Capital Immobility"
(with Zhiguo He)
Journal of Financial Economics, 2013, Vol 107, 239-258 (lead article).
25. "The Financialization of Commodity Markets"
(with Ing-haw Cheng)
Annual Review of Financial Economics, 2014, Vol. 6, 419-441.
26. "Wall Street and the Housing Bubble"
(with Ing-haw Cheng and Sahil Raina)
American Economic Review, 2014, Vol. 104, 2797-2829.
27. "Why Do Hedgers Trade So Much?"
(with Ing-haw Cheng)
Journal of Legal Studies, 2014, Vol. 43, S183-207.
28. "Convective Risk Flows in Commodity Futures Markets"
(with Ing-haw Cheng and Andrei Kirilenko)
Review of Finance, 2015, Vol. 19, 1733-1781.
29. "A Welfare Criterion for Models with Distorted Beliefs"
(with Markus Brunnermeier and Alp Simsek)
Quarterly Journal of Economics, 2014, Vol. 129, 1711-1752.
    - 2013 **NASDAQ OMX Award** for the Best Asset Pricing Paper by Western Finance Association
30. "Informational Frictions and Commodity Markets"
(with Michael Sockin)
Journal of Finance, 2015, Vol 70, 2063-2098.
31. "Demystifying the Chinese Housing Boom"
(with Hanming Fang, Quanlin Gu, and Li-An Zhou)
NBER Macroeconomics Annual, 2016, Vol. 30.

32. "Credit Expansion and Neglected Crash Risk"
(with Matthew Baron)
Quarterly Journal of Economics, 2017, 132, 713-764.

33. "Market Segmentation and Differential Reactions of Local and Foreign Investors to Analyst Recommendations"
(with Chunxin Jia and Yaping Wang)
Review of Financial Studies, 2017, 30, 2972-3008.

34. "China's Gradualistic Economic Approach and Financial Markets"
(with Markus Brunnermeier and Michael Sockin)
American Economic Review Papers & Proceedings, 2017, 107(5): 608-613.

35. "Daily Price Limits and Destructive Market Behavior"
(with Ting Chen, Zhenyu Gao, Jibao He and Wenxi Jiang)
Journal of Econometrics, 2019, Vol 208, 249–264.

36. "Risks in China's Financial System"
(with Zheng Song)
Annual Review of Financial Economics, 2018, Vol 10, 261–286.

37. "Economic Consequences of Housing Speculation"
(with Zhenyu Gao and Michael Sockin)
Review of Financial Studies, 2020, Vol 33，5248-5287.

38. "China's Real Estate Market"
(with Chang Liu)
The Handbook of China's Financial System, edited by Marlene Amstad, Guofeng Sun, and Wei Xiong, Princeton University Press, 2020, 181-207.

39. "The Whack-A-Mole Game: Tobin Taxes and Trading Frenzy"
(with Jinghan Cai, Jibao He, and Wenxi Jiang)
Review of Financial Studies, 2021, Vol 34, 5723–5755.

40. "Learning about the Neighborhood"
(with Zhenyu Gao and Michael Sockin)
Review of Financial Studies, 2021, Vol 34, 4323–4372.

41. "Banking Crises without Panics"
(with Matthew Baron and Emil Verner)
Quarterly Journal of Economics, 2021, Vol 136, 51–113.

42. Overpricing in China's Corporate Bond Market
(with Yi Ding and Jinfan Zhang)
Journal of Financial Economics, 2022, Vol 144, 328–346.

43. Taming the Bias Zoo
(Hongqi Liu, Cameron Peng, and Wei A. Xiong)
Journal of Financial Economics, 2022, Vol 143, 716–741.

44. "China's Model of Managing the Financial System"
(with Markus Brunnermeier and Michael Sockin)
Review of Economic Studies, 2022, Vol 89, 3115–3153.

45. "Decentralization Through Tokenization"
(with Michael Sockin)
Journal of Finance, 2023, Vol 78, 247–299.

46. A Model of Cryptocurrencies
(with Michael Sockin)
***Management Science**,* 2023, Volume 69, 6684–6707.

47. Derisking Real Estate in China's Hybrid Economy
The Arc of the Chinese Economy, edited by Hanming Fang and Marshall Meyer, Cambridge University Press

Working Papers

48. "When is R^2 a Measure of Market Inefficiency?"
(with Kewei Hou and Lin Peng)
Current version: May 2013

49. "A Tale of Two Anomalies: The Implication of Investor Attention for Price and Earnings Momentum"
(with Kewei Hou and Lin Peng)
Current version: August 2009

50. "Information Distortion in Hierarchical Organizations: A Study of China's Great Famine"
(with Ziying Fan and Li-An Zhou)
Current version: February 2016

51. "Real Estate Boom and Misallocation of Capital in China"
(with Ting Chen, Laura Xiaolei Liu, and Li-An Zhou)
Current version: November 2017

52. "The Mandarin Model of Growth"
(with Zheng Michael Song)
Current version: September 2024
R&R, *American Economic Review*

53. Data Privacy and Consumer Vulnerability
(with Zhuang Liu and Michael Sockin)
Current version: December 2021

54. Data Privacy and Digital Demand
(with Long Chen, Yadong Huang and Shumiao Ouyang)
Current version: December 2023
R&R, J*ournal of Financial Economics*

55. The Big Tech Lending Model
(with Lei Liu and Guangli Lu)
Current version: December 2021

56. Measuring Time-Varying Disaster Risk: An Empirical Analysis of Dark Matter in Asset Prices
(with Matthew Baron and Zhijiang Ye)
Current version: September 2023
R&R, *Journal of Finance*

57. Daily Momentum and New Investors in an Emerging Stock Market
(with Jeffery (Jinfan) Chang and Yuheng Wang)
Current version: June 2024

58. State versus Market: China's Infrastructure Investment
(with Shuoge Qian and Hong Ru)
Current version: August 2024
59. Information Discovery for Industrial Policy
(with Michael Sockin)
Current version: November 2024

60. Structured Beliefs and Fund Performance: An LLM-Based Approach
(with Zhenyu Gao and Jian Yuan)
Current version: October 2024

Books

- ***The Handbook of China's Financial System***, edited by Marlene Amstad, Guofeng Sun, and Wei Xiong, Princeton University Press, 2020.

Academic Honors

- Review of Economic Studies European Tour, May 2000
- Roger Murray Prize by Q-group in 2001
- The Standard Life Investments Finance Prize for the best paper by the European Corporate Governance Institute(ECGI) in 2006
- 2006 Q-group research grant
- Smith Richardson Foundation Research Grant on "Financial Innovations in Commodities Markets" (SRF Grant #2011-8691) 2011-2013
- Smith Breeden Prize (first prize) by American Finance Association for the best capital market paper published in Journal of Finance in 2012
- . 2013 NASDAQ OMX Award for the Best Asset Pricing Paper by Western Finance Association
- The Inaugural Sun Yefang Financial Innovation Award by Sun Yefang Foundation in 2014
- 2018 China Economics Prize
- Elected Fellow of the Econometric Society in 2023

Invited Speeches, Lectures and Panel Discussions

- Keynote speech "Post-Crisis Perspectives", the 7th Europlace Institute of Finance Annual Forum in Paris, December 2009
- Keynote speech "Post-Crisis Perspectives: Bubbles, Financial Institutions, and Asset Markets", the 5th Annual CARISMA Conference in London, February 2010
- Panel discussion in IEA-IEF-OPEC Workshop on "Interactions between Physical and Financial Energy Markets" in Vienna, November 2011
- Keynote speech "Financialization of Commodities", Annual Taiwan Conference on Securities and Financial Markets, in Kaohsiung, Taiwan, December 2011

- Panel discussion in United Nations Thematic Debate on "Addressing Excessive Price Volatility in Food and Related Financial and Commodity Markets" in New York, April 2012
- Invited lecture "Informational Frictions and Commodity Markets" in Econometric Society Asian Meetings at National University of Singapore, August 2013
- Keynote address in 2014 TCFA (The Chinese Financial Association) Best Paper Symposium at Fordham University, October 2014
- Dinner speaker in the Third Asian Quantitative Finance Conference at Chinese University of Hong Kong, July 2015
- Panel discussion in "Perspectives on China Slow Down", World Bank MGM Forum, May 2016
- Keynote speech "Informational Frictions in Global Energy Markets," 2016 International Conference on Energy Finance, Zhejiang University, June 2016
- Keynote speech "Informational Frictions in Global Energy Markets," Energy and Commodity Finance Conference, ESSEC Business School, June 2016
- Keynote speech "Real Estate Boom and Misallocation of Capital in China," Chinese Finance Association Annual Meeting, Shanghai University of Finance and Economics, October 2017
- Keynote speech "New Issues in Digital Finance" in CUHK-CEPR Finance Conference, Hong Kong, May 2019
- Keynote Speech "Data Privacy and Fintech," Midwest Finance Association Annual Meeting, March 2021
- Keynote Speech "The Data Privacy Paradox and Digital Demand", 2021 Chinese Finance Research Conference at Tsinghua University, July 2021
- Keynote Speech "The Big Tech Lending Model", 2021 Conference on Markets and Economies with Information Frictions at Peking University, August 2021
- Keynote Speech "The Big Tech Lending Model," the 3rd Shanghai Financial Forefront Symposium at Shanghai Jiaotong University, December 2021
- Keynote Speech "The Big Tech Lending Model," the First Chinese Digital Economy Meeting, February 2022
- Keynote Speech "The Big Tech Lending Model," 2022 Asian Finance Association Annual Meeting, June 2022
- Keynote Speech "DeFi and Tokenization," 7th Central Bank Market Structure Conference, Sydney, December 2022
- Keynote Speech "Behavioral Finance for Emerging Markets," Miami Behavioral Finance Meeting, December 2022
- Keynote speech on "Is This the End of China's Economic Miracle?" European Central Bank conference on the Chinese economy, Rome, Italy, March 2024
- Keynote speech on "From the Great Wall to Global Markets: Exploring Niche Areas in Asian Financial Markets", 2024 International Conference of Taiwan Finance Association, Taiwan, June 2024
- Keynote speech "Challenges to China's Hybrid Economy, Kiel-Göttingen-CEPR Conference on China in the Global Economy, Berlin, Germany, June 2024
- Keynote Speech "China's Hybrid Economy", TCFA Annual Meeting, New York, October 2024

Conference Organizing

- Co-organizer of 2010 NBER Behavioral Economics Meeting in Chicago, April 2010
- Co-organizer of 2012 Symposium on China's Financial Markets in Beijing, China, July 2012
- Co-organizer of 2012 NBER Asset Pricing Meeting in Chicago, April 2012
- Co-organizer of 2012 NBER Meeting on Economics of Commodity Markets at Stanford University, October 2012
- Co-organizer of 2013 Symposium on China's Financial Markets in Beijing, China, July 2013
- Co-organizer of 2013 NBER Meeting on Economics of Commodity Markets at Cambridge, MA, October 2013
- Co-organizer of 2014 Symposium on Emerging Financial Markets: China and Beyond in Beijing, China, July 2014
- Co-organizer of 2014 NBER Summer Institute Asset Pricing Meeting, July 2014
- Co-organizer of 2015 NBER Universities' Research Conference on Economics of Commodity Markets, Cambridge, MA, May 2015
- Co-organizer of 2015 Symposium on Emerging Financial Markets: China and Beyond, New York City, May 2015
- Co-organizer of 2015 IMF-Princeton-CUHK Shenzhen Forum "Housing and Financial Stability of China", Shenzhen, China, December 2015
- Organizer of "Stock Trading Mechanism: China-US Comparison", Princeton University, April 2016
- Co-organizer of 2016 NBER-CUHK Shenzhen Chinese Economy Meeting, Shenzhen, China, May 2016
- Co-organizer of 2016 Symposium on Emerging Financial Markets: China and Beyond, Chinese University of Hong Kong, Hong Kong, May 2016
- Co-organizer of 2016 NBER Conference on Economics of Commodity Markets, Cambridge, September 2016
- Co-organizer of 2017 NBER Chinese Economy Meeting in the Chinese University of Hong Kong, Shenzhen, China, December 2017
- Co-organizer of 2018 NBER Chinese Economy Meeting in Tsinghua University, September 2018
- Co-organizer of 2019 NBER Chinese Economy Meeting in Fudan University-Shanghai Tech University, March 2019
- Co-Organizer of 2020 NBER Chinese Economy Group Spring Meeting, CUHK Shenzhen, China, December 2020
- Co-Organizer of 2021 NBER Chinese Economy Group Spring Meeting, Cambridge, MA, November 2021
- Organizer of the First Chinese Digital Economy Meeting, January 2022
- Organizer of 2022 Econometric Society Asian Meetings, Shenzhen, China, June 2022
- Organizer of the First Chinese Digital Economy Meeting, January 2022
- Organizer of 2022 Econometric Society Asian Meetings, Shenzhen, China, June 2022
- Co-Organizer of 2023 NBER Chinese Economy Group Fall Meeting, Shenzhen, China, December 2023

- Co-Organizer of 2024 NBER Chinese Economy Group Fall Meeting, Shenyang, China, August 2024

Ph.D. Advisees

- Shumiao Ouyang (*, 2023, University of Oxford)
- Don Noh (*, 2023, Hong Kong University of Science and Technology)
- Tony Ye (*, 2022, L.E.K. Consulting)
- Simon Schmickler (2022, Jane Street)
- Lunyang Huang (2022, Two Sigma Investments)
- Haiyue Yu (2022, Two Sigma Investments)
- Yifan Yu (2021, Prudential Global Investment)
- Donghwa Shin (*, 2019, University of North Carolina, Chapel Hill)
- Emil Verner (2018, MIT)
- Yu Zhang (*, 2017, Peking University)
- Sean Dong (*, 2017, DE Shaw)
- Mathieu Gomez (2017, Columbia University)
- Zhongbo Huang (2017, Chinese University of Hong Kong, Shenzhen)
- John Kim (2016, Emory University)
- Michael Sockin (*, 2015, University of Texas-Austin)
- Matthew Baron (*, 2015, Cornell University)
- Alan Feng (2015, International Monetary Fund)
- Ying Jiang (2015, Remin University of China)
- Liang Dai (2015, Shanghai Jiaotong University)
- Zhenyu Gao (*, 2014, Chinese University of Hong Kong)
- Yi Li (*, 2013, Federal Reserve Board)
- Weicheng Lian (*, 2013, International Monetary Fund)
- Andrew Robinson (*, 2012, BlackRock)
- Sergey Zhuk (2012, University of Vienna)
- Dong Beom Choi (2012, Federal Reserve Bank of New York)
- Hyun-Soo Choi (2012, Singapore Management University)
- Thomas Eisenbach (2011, Federal Reserve Bank of New York)
- Dacheng Xiu (2011, University of Chicago)
- Adam Zawadowski (*, 2010, Boston University)
- Konstantin Milbradt (2009, MIT)
- Ing-haw Cheng (*, 2009, University of Michigan)
- Leonard Kostovetsky (2008, University of Rochester)
- Jordi Mondria (2006, University of Toronto)
- Yulei Luo (2006, Hong Kong University)
- Alvaro Bustos (2006, Northwestern University)
- Chunhui Miao (2005, University of South Carolina)

*: advisor or co-advisor; otherwise, committee member; initial job placement in parenthesis